

Digital Signal Intelligence (DSI)

A New Information Substrate for Insurance

THE STRUCTURAL ARGUMENT FOR A BROKER REVOLUTION

Today's carrier performs two distinct functions: it provides capital, and it assesses risk. These are bundled not because it is optimal, but because no objective standard for risk exists. Without one, subjective judgment is the only available proxy, and that comes at a price, embedded in every premium as the cost of the carrier's assessment infrastructure and the profit margin that justifies it.

DSI changes that. For the first time, it is possible to produce a rigorous, observable, externally verifiable risk score, one that does not require a carrier's internal underwriting team to generate. When assessment can be separated from capital, the bundled carrier model begins to unbundle. And the question of who owns the assessment layer is wide open.

THE END STATE IS EXPLICIT

Carriers become appetite-driven capital provider. Brokers become the risk intelligence layer.

THIS TRANSITION IS HAPPENING NOW

Carrier Retreat Is Already Underway

Major carriers have made public pledges to reduce headcount, in many cases by significant margins, through automation and AI. They are signalling, explicitly, that they intend to reduce their investment in the human assessment function. The vacuum this creates is real, it is imminent, and it will be filled by whoever moves first.

The Objective Standard Exists

DSI produces a composite risk score from observable signals across seven. The methodology is grounded in the same graph-propagation principles that power Google, FICO, and modern AI. The standard exists and is proven.

Brokers Hold The Structural Advantage

Brokers already own the client relationship. They see data the carrier never sees: renewal history, client disclosures, operational context, risk improvement commitments. Combined with DSI's external signal harvest, the broker's composite view of any risk is richer than anything a carrier can assemble from a submission alone.

WHAT CHANGES WHEN BROKERS OWN SUBMISSION ASSESSMENT

Market Negotiation

Instead of presenting a risk and waiting for a carrier's assessment, the broker presents a DSI-scored risk and negotiates on appetite and price. The assessment is already done. The carrier's role is to decide whether the risk fits their book at the stated score, not to re-evaluate it from scratch. This inverts the current dynamic entirely.

Premium Economics

The carrier's assessment cost and profit margin on that assessment function are no longer embedded in the premium. The risk is priced against an objective standard. This creates genuine room for brokers to deliver better client outcomes, lower premiums for well-scored risks, competitive tension among capital providers on appetite rather than assessment quality.

Client Relationships

A broker with DSI access can show a client their score, the signals driving it, and what specific improvements are worth in premium terms at renewal. This is advice no carrier provides, and no competitor broker without DSI can replicate. The client relationship deepens from transactional to advisory and becomes structurally difficult to move.

First Mover Permanence

Risk assessment authority, once established, compounds. A broker who builds a track record of DSI scored placements, with demonstrated loss performance, accumulates the validation history that makes their scores increasingly trusted by markets. The first movers establish the standard. Late adopters accept it on terms set by others.

QUESTIONS AND ANSWERS

Q: DSI sounds compelling as a methodology, but what makes it a standard and not another tool?

The traditional underwriting model has existed for over 300 years and has never produced an accepted standard. That is not a coincidence, it is a structural impossibility. A model built on subjective judgment, that is neither canonical nor deterministic, cannot become a standard no matter how long it operates.

DSI has the opposite characteristics. It is observable — every signal is externally verifiable. It is repeatable — the same entity scored twice produces the same result. It is consistent — the algorithm does not vary by individual or institution. It is auditable — every pricing decision traces back through a defined signal-to-tier-to-premium chain. It is non-gameable — signals are drawn from behaviour, not self-reporting. These are precisely the characteristics that allow FICO, PageRank, and credit ratings to function as standards. The traditional model never had them. DSI does.

The journey to full market acceptance is a 12–24-month forward validation exercise. A cohort of DSI-scored risks tracked against actual loss outcomes produces the evidence base that moves the conversation from methodology to standard. At that point, you do not need to persuade capital providers — yield-seeking equity finds a transparently-scored, independently-validated risk asset class without being asked. New breed capital providers emerge specifically to take on DSI-scored risk, because the information asymmetry that made insurance opaque to outside capital has been removed. The brokers who participate in that first validation cohort are not just early adopters. They are the parties whose experience defines what a DSI score means. That is a structural advantage that cannot be replicated later.

Q: Carriers won't accept a broker-controlled risk assessment. Why would they change?

Carriers are already changing, not by choice, but by economic and technological pressure. Headcount reduction targets signal that carriers themselves do not believe their internal assessment function is sustainable at current cost. What they need is an objective standard they can rely on rather than replicate. DSI provides that. A carrier that trusts a DSI Tier 1–2 score enough to auto-approve at preferred pricing is not conceding authority, it is optimising its own cost base. Early adopting carriers will gain the competitive advantage of lower assessment costs. Resistance will come from those with most to lose from the transition, and they will not be the ones setting market terms for long.

Q: What stops a carrier from simply licensing DSI themselves and cutting the broker out instead?

Nothing, and some will. But the broker's structural advantage is not DSI access alone, it is DSI combined with proprietary client data that carriers never see: renewal disclosures, risk improvement commitments, operational context, and relationship intelligence. A carrier running DSI on publicly observable signals produces a good score. A broker running DSI on publicly observable signals plus three years of client knowledge produces a better one. The data advantage is durable. The relationship is not replicable.

Q: How is DSI validated well enough to be trusted as a market standard?

DSI's methodology is grounded in the same graph-propagation principles — observable, relational, externally verifiable — that underpin FICO credit scoring, Google PageRank, and modern AI attention mechanisms. Retrospective validation across major loss events (SVB, FTX, MV Dali, Boeing 737 MAX) shows 70–95% accuracy in flagging risks before crystallisation. Institutional validation is in progress. No standard begins with universal acceptance — it begins with first adopters whose track records become the evidence that others follow.

Q: What about risks with limited digital presence, smaller clients, private companies?

Approximately 85% of mid-market companies have a scoreable digital footprint. For those that do not, DSI's confidence scoring identifies low data-density submissions and flags them explicitly — a limited digital footprint is itself a scored signal. The broker's proprietary client data becomes even more valuable in these cases, supplementing the external signal harvest with information the carrier will never have access to independently.